

October 8, 2024

Federal Trade Commission
600 Pennsylvania Avenue, NW
Washington, DC 20580

Re: FTC Report on Social Media and Video Streaming Services

Dear Chair Khan, Commissioner Slaughter, Commissioner Bedoya, Commissioner Holyoak, and Commissioner Ferguson:

On behalf of the Association of National Advertisers (“ANA”), we write to express our significant concerns about the Federal Trade Commission (“FTC” or “Commission”) staff report, “A Look Behind the Screens: Examining the Data Practices of Social Media and Video Streaming Services” (hereinafter, the “Report”).¹ The Report acutely focused on purported “harms” associated with data collection and use by social media and video streaming services (“SMVSSs”) but failed to discuss or acknowledge the vast and varied benefits that existing data practices – including advertising—provide to consumers and the U.S. economy.

As America’s oldest and largest advertising trade association, the ANA has long supported brands, advertisers, marketing service providers, and countless other entities in their efforts to be responsible stewards of data in the economy. The mission of the ANA is to drive growth for marketing professionals, brands and businesses, the industry, and humanity. The ANA serves the marketing needs of 20,000 brands by leveraging the 12-point ANA Growth Agenda, which has been endorsed by the Global CMO Growth Council. The ANA’s membership consists of U.S. and international companies, including client-side marketers, nonprofits, fundraisers, and marketing solutions providers (data science and technology companies, ad agencies, publishers, media companies, suppliers, and vendors). The ANA creates Marketing Growth Champions by serving, educating, and advocating for more than 50,000 industry members that collectively invest more than \$400 billion in marketing and advertising annually.

The ANA shares the Commission’s desire to advance strong and meaningful privacy protections for consumers across the nation through comprehensive privacy legislation passed through Congress. The ANA is a founding member of Privacy for America which works with a coalition of organizations representing a broad cross-section of the American economy toward the enactment of a preemptive comprehensive federal privacy law. To advance such a workable standard, stakeholders must engage in an honest and diligent examination of both the potential harms *and clear benefits* that the responsible use of data creates for consumers and the economy. Instead of providing such a balanced analysis – one that is not only desirable but is also required to support the FTC’s enforcement and rulemaking powers – the Report suggests only amorphous “harms” that may accrue to consumers through SMVSSs’ data practices, with no discussion of all the benefits the digital economy creates for individuals and businesses.²

¹ FTC, A LOOK BEHIND THE SCREENS: EXAMINING THE DATA PRACTICES OF SOCIAL MEDIA AND VIDEO STREAMING SERVICES (Sept. 2024), located [here](#) (hereinafter, “Report”).

² See ANA, *ANA Defends Ad Industry Against Inflammatory Claims in FTC Social Media Report* (Sept. 19, 2024), located [here](#).

The Report, for example, summarily concludes that targeted advertising poses “privacy risks” to consumers.³ However, it has been shown that individuals receive approximately \$30,000 in value (measured in 2017 dollars) per consumer per year from subsidies provided by targeted advertising, including access to free and low-cost video, news, games, resources, and more.⁴ Targeted advertising also enables small, midsize, and start-up businesses to enter markets, innovate, and compete, thus driving down prices for consumers and empowering a vibrant, competitive marketplace of businesses with which consumers can interact.⁵ Moreover, while the Report cites studies noting consumer concerns about the use of “certain categories of information” for ad targeting,⁶ it contains virtually no discussion of other widely available data demonstrating that consumers value targeted advertising practices and prefer them to less relevant advertising. For instance, a study assessing the value consumers assign to ad-supported services found that a large majority of respondents (84%) preferred the current ad-supported Internet, where most content and services are free, over a paid Internet ecosystem without advertising, and nearly all respondents (93%) said that free Internet content is “very important” or “somewhat important” to them.⁷ A frank and rigorous policy discussion about appropriate privacy standards for the United States must give fair weight to benefits Americans experience from data practices in addition to any purported harms, something the Report fails to do.

The Report, similarly, makes no mention of ways that ad targeting relating to purportedly “sensitive” characteristics has advanced consumer welfare. For example, during the height of the COVID-19 pandemic, the Department of Health and Human Services launched a targeted campaign, “including many culturally tailored and geographically targeted [ads] to specific minority, racial, and ethnic audiences,” to educate particular constituencies about the vaccine.⁸ The campaign was lauded as a great success that averted illness, minimized avoidable costs, and saved lives.⁹ Although the Report criticizes the use of “sensitive” demographic information for ad targeting, it does not recognize how the use of such data can benefit particular populations, such as by providing tailored public health messages, amplifying awareness of government programs, or increasing interest in and donations to cause-based organizations.

The Report also fails to acknowledge the notable successes of industry self-regulation that have enhanced consumer privacy protections in an environment without clear rules of the road or direction from Congress. Industry self-regulatory programs, like the Digital Advertising Alliance (“DAA”) AdChoices program, have provided consumers for decades with information and choices around interest-based advertising across the Internet.¹⁰ Similarly, the ANA’s Ethics Code of Marketing Best Practices has offered key guidance to businesses to help strengthen consumer trust within the advertising ecosystem.¹¹ The independent enforcement mechanism of the DAA’s AdChoices program, through the Better Business Bureau and the ANA, has provided

³ Report at 40.

⁴ J. Howard Beales & Andrew Stivers, *An Information Economy Without Data* at ii-iii, 2, located [here](#).

⁵ *Id.* at 7-9, 20-21.

⁶ Report at 40.

⁷ See Digital Advertising Alliance, *Americans Value Ad-Supported Services 2020 Update*, located [here](#) and [here](#).

⁸ U.S. Department of Health and Human Services, *COVID-19 Vaccination Public Education Campaign Saved Thousands of Lives, Billions of Dollars* (May 6, 2024), located [here](#).

⁹ *Id.*

¹⁰ See Digital Advertising Alliance, *DAA Statement Regarding Federal Trade Commission Report on Social Media and Video Streaming Services* (Sept. 19, 2024), located [here](#).

¹¹ ANA, *ANA Ethics Code of Marketing Best Practices* (July 2024), located [here](#).

accountability with real impact, as demonstrated by the over 100 public enforcement actions to date. FTC staff have even recently acknowledged that adherence to the DAA's program "is more likely to put [a] company on the right side of compliance, should there be a complaint."¹²

Instead of attesting to these positive aspects of self-regulation and available data showing that consumers value the trust that programs like the DAA create, the Report dismisses self-regulation as a failure.¹³ The Report thus gives insufficient weight to the breadth of self-regulatory programs, their impact on consumer privacy, and their important role in the future as we work toward the enactment of a national privacy law that will truly benefit consumers.

We urge the Commission to appropriately consider the benefits of existing practices on consumers, competition, and the economy as a whole as part of a nuanced dialogue on a privacy approach that will work for America, benefit consumers and be consistent with the Commission's enforcement and rulemaking authority. Data-driven advertising not only provides the benefits outlined above; it is vital to a competitive marketplace. The ability of small, medium and startup businesses to access digital advertising tools allows them to reach national and world-wide audiences that would be unavailable to them without data. Those companies are the ones that will compete with large market players, driving innovation, growth, and the kind of healthy competition that only data-driven advertising can support at scale. The Commission should take care to analyze how any suggestions or regulations could hamper another of its core missions, encouraging a competitive marketplace.

Thank you for your consideration of our views as you contemplate ways to best protect consumer privacy while preserving the benefits from data use in the economy. We look forward to continuing to work with the Commission in that mission.

Sincerely,



Christopher Oswald

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ANA – Association of National Advertisers

¹² See DAA, *Summit Snapshot: FTC Remains Active on the Privacy Beat, Supported by Industry Self-Regulation* (Sept. 18, 2024), located [here](#).

¹³ Report at ii, 77, 83.